

THEORY / PROCESS / PRACTICE

5TH EDITION

FREDERICK / O'CONNOR / KURATKO

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CHAPTER OBJECTIVES

1. To illustrate today's entrepreneurial context
2. To examine different definitional perspectives and conclude a comprehensive definition
3. To examine the historical development of entrepreneurship
4. To identify the major theoretical approaches to entrepreneurship
5. To distinguish between types of entrepreneurs
6. To demonstrate the global revolution and interests in entrepreneurship

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DEFINITIONS OF ENTREPRENEURSHIP

Business entrepreneurs	Driven by a profit motive – constantly innovating for market share
Social entrepreneurs	Driven by a mission to fill gaps left by the market and public sector

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TRADITIONALLY AN ENTREPRENEUR

Start-up – many new ventures are created not only by individuals, but by an expansion of existing organizations via new capital or joint ventures, or a like minded group of individuals, with a common goal, each bringing a specific skillset to the table.

Necessity – is an increasing pathway, be it via unexpected unemployment, or changing social circumstances.

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TRADITIONALLY AN ENTREPRENEUR

Wealth creation – the desire to become one's own boss is an essential motivation for many.

Risk – is an element faced by any new venture, be it personal, via financial or reputational means; or perhaps extended to family members of other financial backers in the advent of failure.

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TRANSFORMATION OF SOCIETY

Transformative Innovation – changes in the economy, environment, social welfare.

i *Duplication* – reproducing an existing product, process or service.

ii *Extension* – adding to an existing concept to provide enhancement.

iii *Synthesis* – combining existing productions for improved performance.

iv *Invention* – a unique, never launched good or service.

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FORMS OF INNOVATION

i ***Innovation that sustains*** – improves efficiencies and extends the lifetime of existing systems;
e.g. low emission coal powerplants.

ii ***Innovation that disrupts*** – fundamentally changes existing markets in the short–medium term, before becoming established and improved, leading to sustainable social or industrial transformation;
e.g. the development of hydrogen fuel cells.

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FORMS OF INNOVATION

iii ***Innovation that transforms*** – results in fundamental changes to entire industry or social segments, or global ecology; creating new businesses and values otherwise unrealized;
e.g. new waste handling technology that reduces landfill.

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DEFINITIONS OF ENTREPRENEURSHIP

- It stems from the French *entreprendre*, ‘to take in between’, or to ‘undertake’: ‘the organization, management and assuming the associated risks’ of a venture.

- It create value via the application of their time, energy, financial resources of organizational and creative skills to benefit themselves, society, or more commonly, the environment.

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MODERN ENTREPRENEURS

- ***Seniorpreneur*** - Individuals often use their experience, skills, and networks to create new opportunities or solve problems they are passionate about.
- ***Intrapreneur*** - An employee within a larger company who takes on the role of an entrepreneur. They innovate from within the organization, developing new products, services, or processes that add value to the company.
- ***Mumpreneur*** - A mother who starts and runs her own business while balancing family responsibilities. These entrepreneurs often create businesses that fit around their family life.
- ***Minipreneur*** – Individuals who starts a small-scale business or side hustle, often with limited resources or on a part-time basis. The business is typically low-risk and manageable with minimal investment.

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ENTREPRENEURS ARE DIFFERENT FROM SMALL-BUSINESS OWNERS

Small-business owners

- Prefer a more stable and less aggressive approach
- Would rather exploit existing opportunities
- Operate in existing markets

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ENTREPRENEURS AND INNOVATORS AT THE CORE OF THE ECONOMY

- **Entrepreneurial Skills**
- the ability to consolidate resources
- a strong desire for autonomy and ‘considered’ risk tasking
- brashness, or confidence, along with competitiveness
- be goal-orientated, and sense opportunities
- be intuitive and pragmatic
- and, the ability to learn from their mistakes and gather resources to overcome same.

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THE EVOLUTION OF ENTREPRENEURSHIP

- Entrepreneur is derived from the French *entreprendre*, meaning “to undertake.”
  - The **entrepreneur** is one who undertakes to organize, manage, and assume the risks of a business.
  - Although no single definition of *entrepreneur* exists and no one profile can represent today’s entrepreneurs, research is providing an increasingly sharper focus on the subject.

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ENTREPRENEURSHIP THROUGH THE AGES

- Primitive hunter-gatherers sought niche advantage in the wild marketplace.
- Ancient Assyrians had innovation and a corps of knowledge workers.
- Phoenician traders peacefully connected cultures through trade.
- Roman nobles let slaves run their enterprises.
- The Bible forbade entrepreneurship (‘usury’).

‘He [who] lends at usury and takes excessive interest. Will such a man live? He will not! Because he has done all these detestable things, he will surely be put to death and his blood will be on his own head’.

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ENTREPRENEURS: A TYPOLOGY OF DISTINCTIVE JOURNEYS

- Small-Business Owners
  - Manage their businesses by expecting stable sales, profits, and growth.
- Entrepreneurs
  - Focus their efforts on innovation, profitability, and sustainable growth.

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MAJOR TYPES OF ENTREPRENEURIAL VENTURES

- Survival ventures
- Lifestyle ventures
- Managed growth ventures
- Aggressive growth ventures
  - Gazelles, unicorns, decacorns

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ENTREPRENEURSHIP: A MINDSET

- Entrepreneurship is more than the mere creation of business. It:
  - Seeks opportunities.
  - Takes risks beyond security.
  - Has the tenacity to push an idea through to reality.
- Entrepreneurship is an integrated concept that permeates an individual's business in an innovative manner.

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THE ENTREPRENEURIAL PROCESS: EMPLOYEE VS. ENTREPRENEUR MINDSET

Becoming on entrepreneur is less about the money, the commitment, or the support and more about the mindset. Becoming an entrepreneur revolves around shifting from an employee mindset to an entrepreneur mindset. Here are some interesting perspectives to compare:

Employee Perspective	Vs.	Entrepreneur Perspective
Out of fear for my job, I must conform		*Fear fuels me*
Mistakes must be avoided		*Mistakes help me learn*
Avoiding risk is security		*Calculated risks are my security*
I must know everything about my job		*Continuous learning is my approach*
Try and be smartest one on my team		*Seek a team of people smarter than me*
How I look externally is key		*How I appear internally is more important*
Promotion is my goal		*The entrepreneurial journey is my goal*

Entrepreneurship is more than just creating a business; it is an actual spiritual and emotional transformation that takes you from on established way of thinking to a new, groundbreaking mentality. An entrepreneur must get comfortable with being uncomfortable and be able to deal with fear. Entrepreneurship, in whatever capacity or form it shows itself in, is risky and fear inducing. It does not matter if you are selling lemonade in your backyard as a kid, writing your first book, or hustling to market your brand after hours. The more a person can change their mindset from employee to entrepreneur, the more they will be able to find satisfaction in entrepreneurship

Source: Adapted from E. Network, “How to Switch from an Employee to an Entrepreneur Mindset,” September 11, 2017, https://www.huffingtonpost.com/entry/how-to-switch-from-an-employee-to-an-entrpreneur-mindset_us_59b69e29e4b0d364c97f53fb, accessed January 16, 2018.

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AVOIDING FOLKLORE: THE MYTHS OF ENTREPRENEURSHIP (1 OF 2)

- Myth 1: Entrepreneurs are doers, not thinkers.
- Myth 2: Entrepreneurs are born, not made.
- Myth 3: Entrepreneurs are always in tech ventures.
- Myth 4: Entrepreneurs are academic and social misfits.
- Myth 5: Entrepreneurs must fit the profile.
- Myth 6: All entrepreneurs need is money.

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AVOIDING FOLKLORE: THE MYTHS OF ENTREPRENEURSHIP (2 OF 2)

- Myth 7: All entrepreneurs need is an idea.
- Myth 8: Entrepreneurship is unstructured and chaotic.
- Myth 9: Most entrepreneurial initiatives fail.
- Myth 10: Entrepreneurs are extreme risk takers.
- Myth 11: The unicorn fallacy.
- Myth 12: Entrepreneurship education is not needed.

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GROUP ACTIVITY 1-1

- Each group should select a different myth of entrepreneurship. Then look to find an example consistent with the myth and an example that refuses the myth.

- Share your examples and insights with the class.

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ENTREPRENEURIAL SCHOOLS-OF-THOUGHT APPROACH

Macro View	Environmental School of Thought
	Financial/Capital School of Thought
	Displacement School of Thought
Micro View	Entrepreneurial Trait School of Thought (People School)
	Venture Opportunity School of Thought
	Strategic Formulation School of Thought

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MACRO VIEW: EXTERNAL LOCUS OF CONTROL



Environmental School of Thought

Considers the external factors that affect a potential entrepreneur's lifestyle.



Financial/Capital School of Thought

Is based on the capital-seeking process—the search for seed and growth capital.

MACRO VIEW: EXTERNAL LOCUS OF CONTROL

- **Displacement School of Thought**
  - Alienation drives entrepreneurial pursuits.
    - Political displacement (laws, policies, and regulations)
    - Cultural displacement (preclusion of social groups)
    - Economic displacement (economic variations)

FINANCIAL ANALYSIS EMPHASIS

Venture Stage	Financial Consideration	Decision
Start-up or acquisition	Seed capital Venture capital sources	Proceed or abandon
Ongoing	Cash management Investments Financial analysis and evaluation	Maintain, increase, or reduce size
Decline or succession	Profit question Corporate buyout Succession question	Sell, retire, or dissolve operations

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MICRO VIEW: INTERNAL LOCUS OF CONTROL (1 OF 2)

- **Entrepreneurial Trait School of Thought**
  - Focuses on identifying traits common to successful entrepreneurs.
    - Achievement, creativity, determination, and technical knowledge

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MICRO VIEW: INTERNAL LOCUS OF CONTROL (1 OF 2)

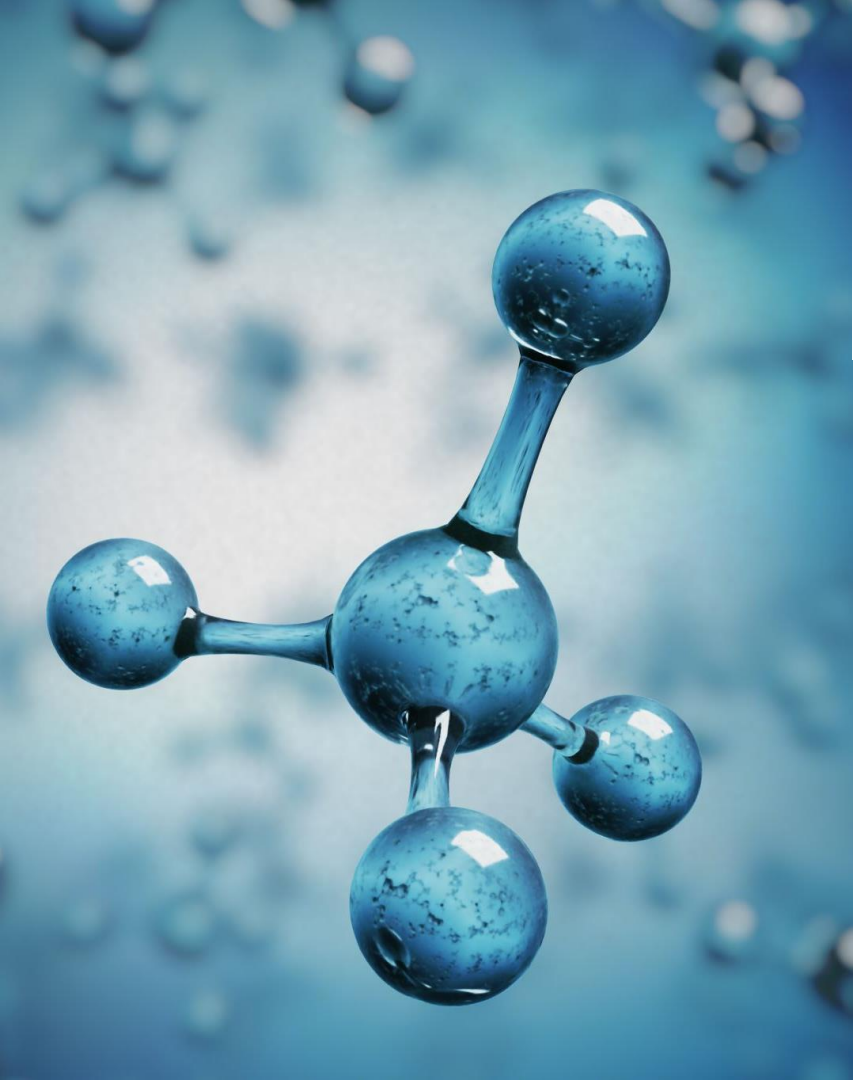
- **Venture Opportunity School of Thought**
  - Focuses on the opportunity aspect of venture development.
    - **Corridor principle***:* New pathways or opportunities will arise that lead entrepreneurs in different directions.



MICRO VIEW: INTERNAL LOCUS OF CONTROL (2 OF 2)

- **Strategic Formulation School of Thought**
  - Emphasizes the planning process in successful venture development.
  - Strategic formulation is a leveraging of unique elements:





MICRO VIEW: INTERNAL LOCUS OF CONTROL (2 OF 2)

- Strategic formulation is a leveraging of unique elements:
  - Unique markets—**mountain versus mountain gap strategies**
  - Unique people—**great chef strategies**
  - Unique products—**better widget strategies**
  - Unique resources—**water well strategies**

STRATEGIC PATHWAYS



UNIQUE MARKETS



UNIQUE PEOPLE



UNIQUE PRODUCTS



UNIQUE RESOURCES

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DISCUSSION ACTIVITY 1-1

Which of the following do you think creates the most entrepreneurial opportunities? Why?

- Unique markets—mountain versus mountain gap strategies
- Unique people—great chef strategies
- Unique products—better widget strategies
- Unique resources—water well strategies

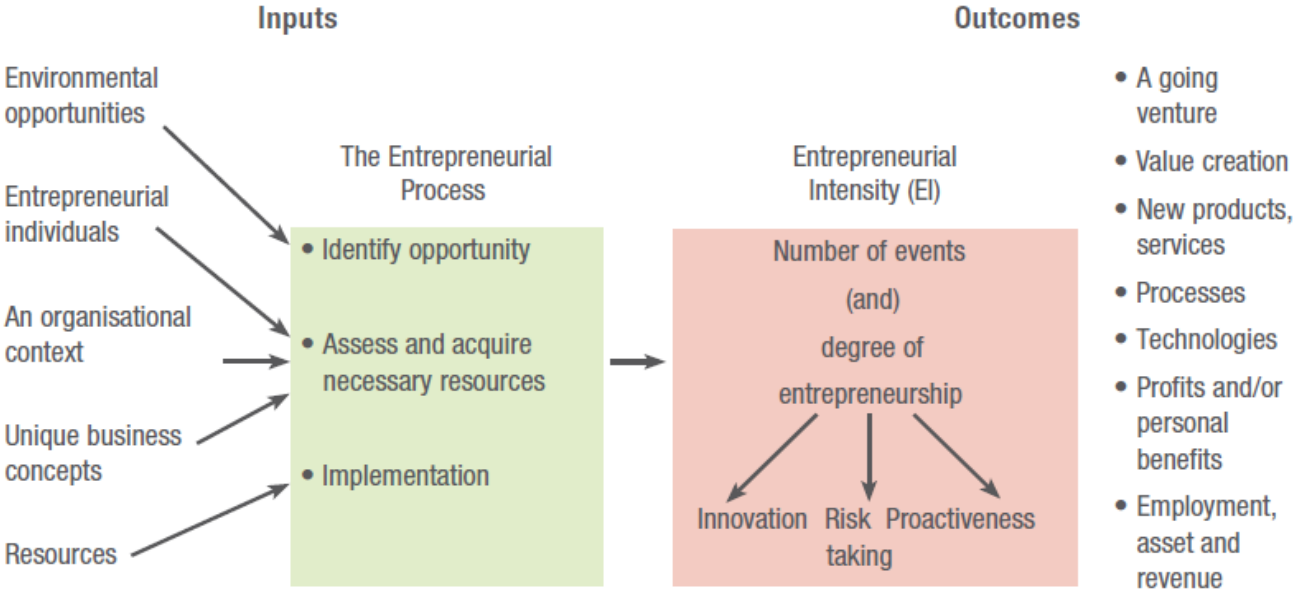
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PROCESS APPROACHES TO ENTREPRENEURSHIP (1 OF 3)

- **Integrative Approach**
  - Built around the concepts of input to the entrepreneurial process and outcomes from the entrepreneurial process.
  - Focuses on the entrepreneurial process itself and identifies five key elements that contribute to the process.
  - Provides a comprehensive picture regarding the nature of entrepreneurship that can be applied at different levels.



THE PROCESS APPROACH



Source: Morris, M. H., Lewis, P. S., & Sexton, D. L. (1994). Reconceptualizing entrepreneurship: An input–output perspective. *SAM Advanced Management Journal*, 59(1), 21–31. Reprinted with permission.

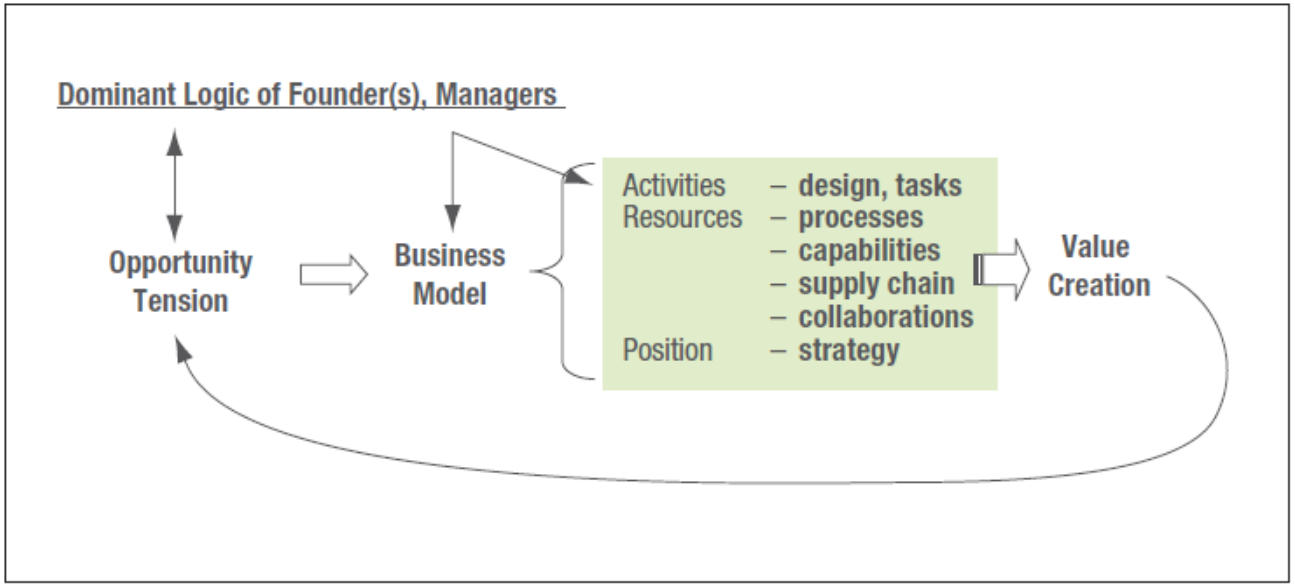
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PROCESS APPROACHES TO ENTREPRENEURSHIP (2 OF 3)



- **Dynamic States Approach**
  - Stresses dependency of venture on environment and the interaction of:
    - The dominant logic of the firm
    - The business model
    - Value creation

THE DYNAMIC STATES MODEL



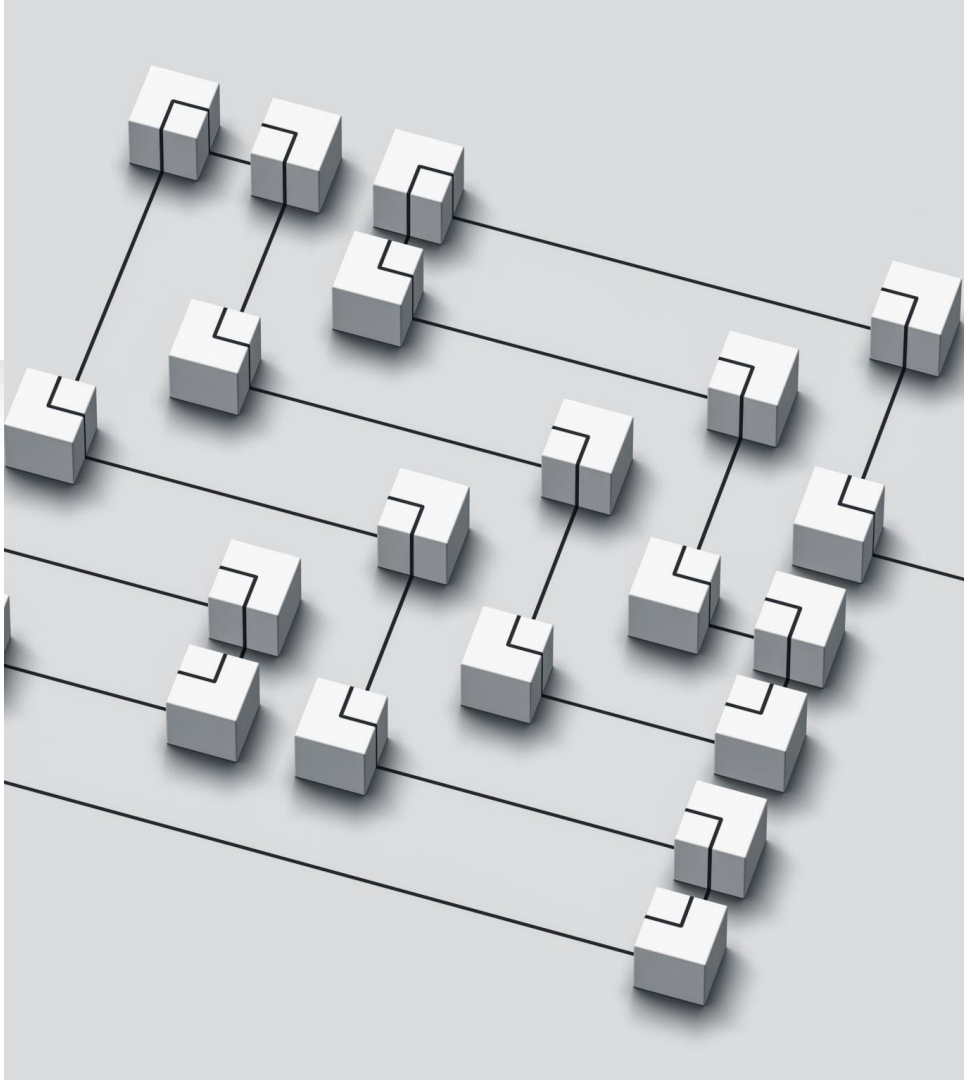
Dynamic State

Source: Levie, J., & Lichtenstein, B. B. (2010). A terminal assessment of stages theory: Introducing a dynamic states approach to entrepreneurship. *Entrepreneurship Theory and Practice*, 34(2), 332. Reproduced with permission of John Wiley & Sons Ltd.

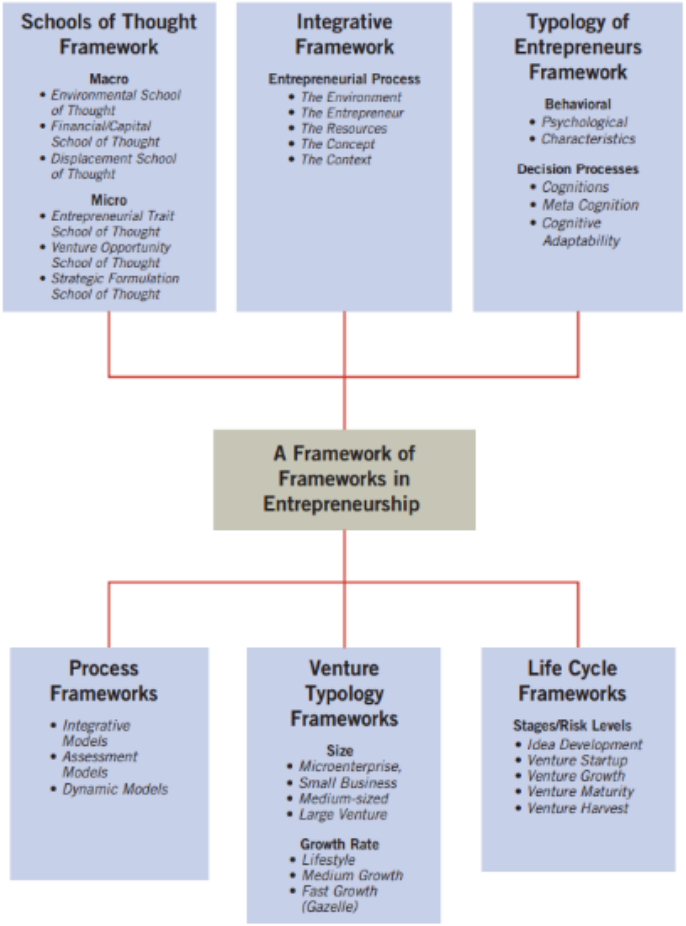
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PROCESS APPROACHES TO ENTREPRENEURSHIP (3 OF 3)

- **Framework-of-Frameworks Approach**
  - Offers a more dynamic view of entrepreneurship.
  - Allows for the profession to move forward.
  - Identifies the static and dynamic elements of new theories, typologies, or frameworks of importance.



A FRAMEWORK-OF-FRAMEWORKS APPROACH



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TYPES OF ENTREPRENEURS

1

Millennipreneurs : under age 35

- Success based on positive social or environmental impact

2

Ultrapreneurs: focus on environmental and social concerns.

3

Serialpreneurs: have four or more operating companies.

4

Boomerpreneurs : age 55 or older

- Believe their business has had a positive social impact.

THE ENTREPRENEURIAL REVOLUTION: A GLOBAL PHENOMENON

Entrepreneurship is the symbol of business tenacity and achievement.

Entrepreneurs were the pioneers of today's business successes.

Global Entrepreneurship Monitor (GEM):

- First post-COVID-19 assessment on entrepreneurship
- 63 million people expect to hire five or more employees.



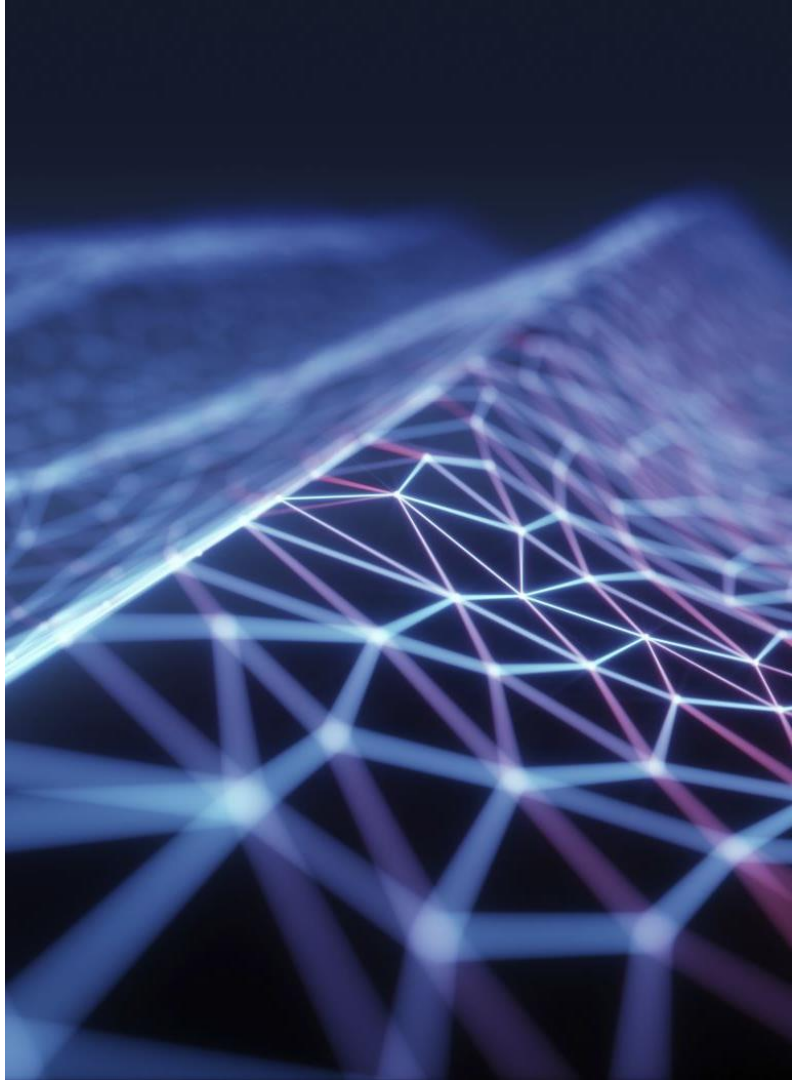
ENTREPRENEURIAL REVOLUTION

In post-pandemic world, entrepreneurs will continue to be critical contributors to economic growth through:

- leadership, management, innovation, research and development effectiveness, job creation, competitiveness, productivity, and formation of new industry.

THE IMPACT OF ENTREPRENEURIAL VENTURES IN THE UNITED STATES

- Declined in pandemic, in 2021, large growth in new business applications
- Now more than 31 million entrepreneurs
- Nearly 1.3 million women-owned businesses, growing faster than total businesses.
- Number of Latino business owners grew 34 percent.
- Asian entrepreneurs run 10 percent of all businesses.



ENTREPRENEURIAL VENTURES IN THE UNITED STATES

Reasons for the exceptional entrepreneurial activity in the United States include:

- A national culture that supports risk-taking and -seeking opportunities.
- Americans' alertness to unexploited economic opportunity and a low fear of failure.
- U.S. leadership in entrepreneurship education at both the undergraduate and graduate levels.
- A high percentage of individuals with professional, technological, or business degrees who are likely to become entrepreneurs.

GROWTH OF GAZELLES



A “gazelle”

A business establishment with at least 20 percent sales growth in each year for 5 years, starting with a base of at least $100,000 in annual sales.



Gazelles as leaders in innovation:

Median growth of 450 percent

Top-performing 1 percent of companies account for about 40 percent of jobs.

- Gazelles make up less than 1 percent of all businesses and account for 10 percent of net new jobs.

UNICORN, DECACORN, HECTACORN



A “**unicorn**”

A pre-IPO (private) tech start-up company with a $1 billion market value.

In 2023, 1,191 start-ups were unicorns.



A “**decacorn**”

Start-ups with a $10 billion or more market value.

Examples: Facebook, Uber (taxis), and Airbnb (hotels)



A “**hectacorn**” is valued at $100 billion or more.

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LEGACY OF ENTREPRENEURIAL FIRMS

Entrepreneurial components of the U.S. economy:

1. Large firms have increased profitability by returning to their “core competencies” through restructuring and downsizing.
2. New entrepreneurial companies have been blossoming in new technologies and new markets.
3. Thousands of smaller firms established by women, minorities, and immigrants have strengthened the economy.



ENTREPRENEURIAL FIRMS' ECONOMIC IMPACT

Entrepreneurial firms make two indispensable contributions to an economy:

1. They are an integral part of the renewal process that pervades and defines market economies.
2. They are the essential mechanism by which millions enter the economic and social mainstream of society.



THANK YOU